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52 Commercial & Office Real Estate Statistics for 2025

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The commercial real estate market in 2025 presents a complex landscape of recovery, distress, and transformation. While certain sectors like multifamily, retail, and industrial properties show resilience, the office market continues to grapple with unprecedented challenges from hybrid work adoption and elevated vacancy rates. This comprehensive statistical overview examines key trends across commercial and office real estate (CRE).

Commercial & Office Real Estate Market Overview

1. The U.S. **industrial property vacancy rate is 6.8%** in early 2025, with overall commercial property vacancy rates varying significantly by sector.
2. **Office property vacancy rates in the U.S. reached a record 19.6%** in Q1 2025, the highest on record.
3. In New York City, office absorption turned positive, but vacancy remains above **14%**.
4. Class A office vacancy rates vary significantly by market, with some cities reporting **rates above 20%**, while Class B and C buildings (older, lower-quality properties) typically show even higher vacancy rates due to tenant flight to quality.
5. The average office vacancy rate in major U.S. cities such as San Francisco is **22.65%**.
6. **Flexible workspaces** comprise an increasing share of new office leases globally, with **65% of investors expecting demand to rise** by 2025.
7. Demand for office space in the U.S. remains **about 30% below pre-pandemic levels**.
8. Average square footage per office employee has **dropped 23% since 2019** due to ongoing hybrid work adoption.
9. European commercial real estate (CRE) transaction volumes reached **€188.8bn in 2024**, up 13.7% year-over-year.

Commercial & Office Real Estate Price Trends

13. **Office property values in the U.S. declined by 14% in 2024**, with expectations for a further 26% drop in 2025.
14. The Green Street Commercial Property Price Index reported a **24% decline in core U.S. CRE values** since the peak,
15. **Industrial asking rents** have grown 5.2% year-over-year to \$9.50 per sq ft nationally.
16. Data centers recorded an **8.9% surge in demand** in 2025.
17. Senior housing rents rose **6% year-over-year**; life sciences asking rents climbed **4.1%**.
18. **National industrial vacancy rose to 6.4%** with rent growth slowing.
19. Orange County, CA, has the **lowest commercial property vacancy at 4.2%**.
20. In retail, national vacancy rate hit **4.2%** (lowest since 2007); new construction remains subdued.
21. Retail sector rent growth: **3.1% year-over-year**; neighborhood centers/grocery-anchored retail up 4.5%.

Leasing, Construction & Transaction Activity

- 25. First-quarter U.S. industrial absorption dropped **30% year-over-year** to 26 million sq ft.
- 26. New industrial construction completions fell **44% year over year** in 2025.
- 27. Multifamily net absorption more than **doubled year over year**: 82,500 units in Q1 2025.
- 28. Office absorption in major metro markets like Boston and Chicago is negative; New York has stabilized.
- 29. Green-certified buildings now comprise **22% of new commercial construction** in the U.S.
- 30. Hybrid/remote work strategies adopted by **72% of office tenants**, significantly affecting space use.

Commercial & Office Real Estate Loans and Debt

- 32. Approximately **\$600 billion in U.S. CRE loans** mature annually through 2028, totaling \$2.3 trillion.
- 33. In 2025 alone, nearly **\$950 billion of CRE mortgages are maturing**, putting stress on borrowers and lenders.
- 34. Bank lending for commercial real estate is **down 58% from pre-pandemic averages** as of Q2 2025; office sector lending down 65%.
- 35. Nearly **51% of \$6 trillion in commercial real estate debt** is held by financial institutions such as banks.
- 36. **CMBS (commercial mortgage-backed securities) office delinquency rate rose to 11.01%** by end of 2024, a historic high.
- 37. Overall CMBS delinquency rate for all CRE was **6.57% at the end of 2024**, up from 4.51% at the end of 2023.
- 38. Delinquency rate for life company CRE loans reached **1.0% in Q1 2025** (up from 0.9%).
- 39. The proportion of CRE PDNA (potentially defaulted & not accruing) loans reached **1.42% at the end of 2024**, up from 1.08%.

Commercial & Office Real Estate Foreclosure, Distress & Risk

- 41. ATTOM reports **187,659 U.S. properties with foreclosure filings in H1 2025**, up 5.8% from H1 2024.

- 42. U.S. CRE foreclosure starts were **up 7% in first half of 2025** compared with 2024, and up 41% vs. 2020.
- 43. States with biggest foreclosure increases: Alaska (+55%), Rhode Island (+51%), Wyoming (+46%), Utah (+46%), Colorado (+41%).
- 44. **REOs (bank-owned foreclosures) up 12%** from H1 2024, totaling 21,007 U.S. properties (all property types).
- 45. The CRE market is expected to see **further increases in loan delinquencies** and foreclosures through 2025 as economic growth slows.
- 46. The office sector saw a delinquency rate rise of **86 basis points since Q1 2024** to **7.2%** in Q2 2025 (Trepp data).

Commercial & Office Real Estate Trends & Opportunities

- 47. The U.S. Southeast struggles with **industrial property oversupply**, while the Northeast leads in performance.
- 48. Class A trophy office buildings in prime U.S. locations have vacancy rates **500 basis points below market average**.
- 49. Retail sector foot traffic is **just 3% below pre-pandemic levels**, signaling steady consumer recovery.
- 50. **70% of CRE investors** expect market stabilization and recovery by late 2025.
- 51. **60% expect demand for logistics/industrial properties to grow**, while 65% forecast increased need for flexible workspaces.
- 52. The FDIC Risk Review (2025) expects CRE loan performance—especially offices—to continue to underperform, with deteriorating property-level cash flows, vacancy, and elevated interest rates as key risks. Office portfolios show the weakest performance, while other sectors remain more resilient.

Conclusion

The office sector faces an unprecedented crisis with record vacancy rates and a historic wave of loan maturities creating systemic risks. The \$950 billion in maturing CRE debt, combined with tightened lending standards and elevated interest rates, presents significant refinancing challenges ahead. As the market navigates this period of adjustment, success will depend on strategic positioning, capital access, and the ability to adapt to permanently altered demand patterns across property types.

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All statistics reflect data and expert consensus as of Q3 2025. Only high-authority industry sources, government agencies, and leading CRE data firms are used for accuracy and reliability.

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